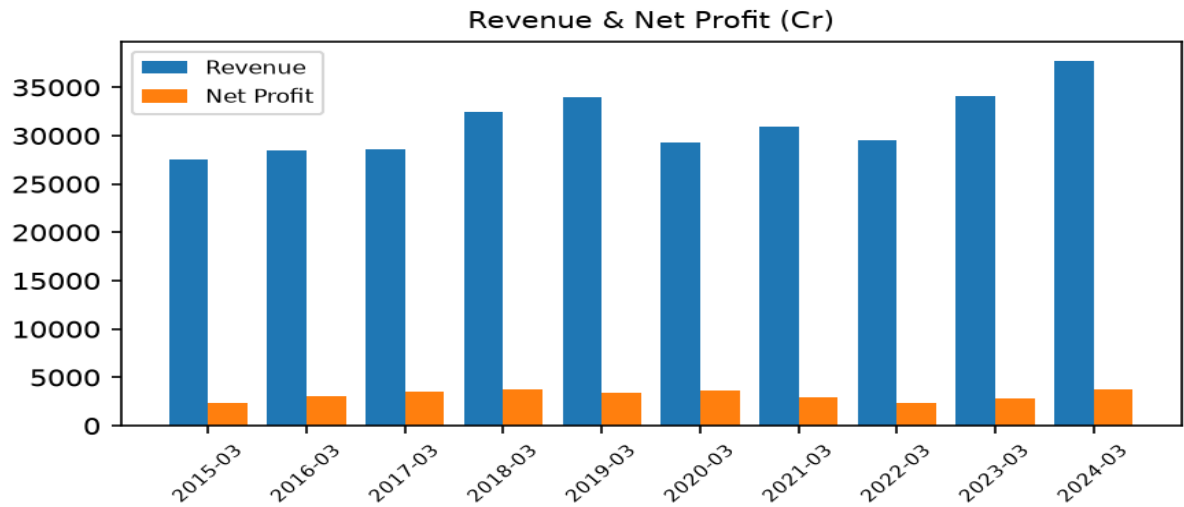


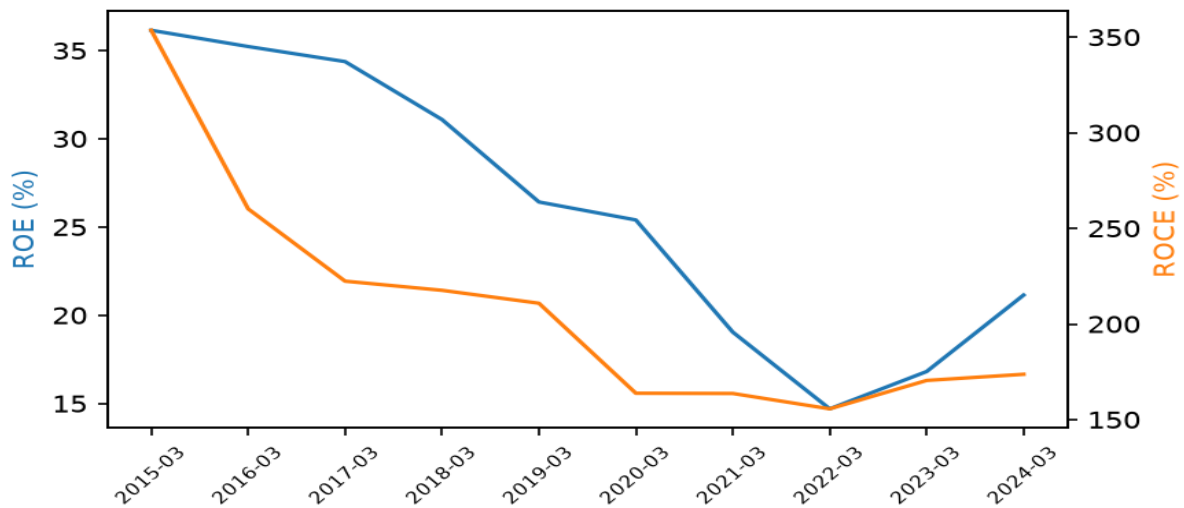
Hero MotoCorp Ltd (HEROMOTOCO)

ROE 21.1%	ROCE 173.7%	Net Profit Margin 9.9%
D/E 0.0	Revenue CAGR 5yr 2.2%	Free Cash Flow (Cr) 3095.0

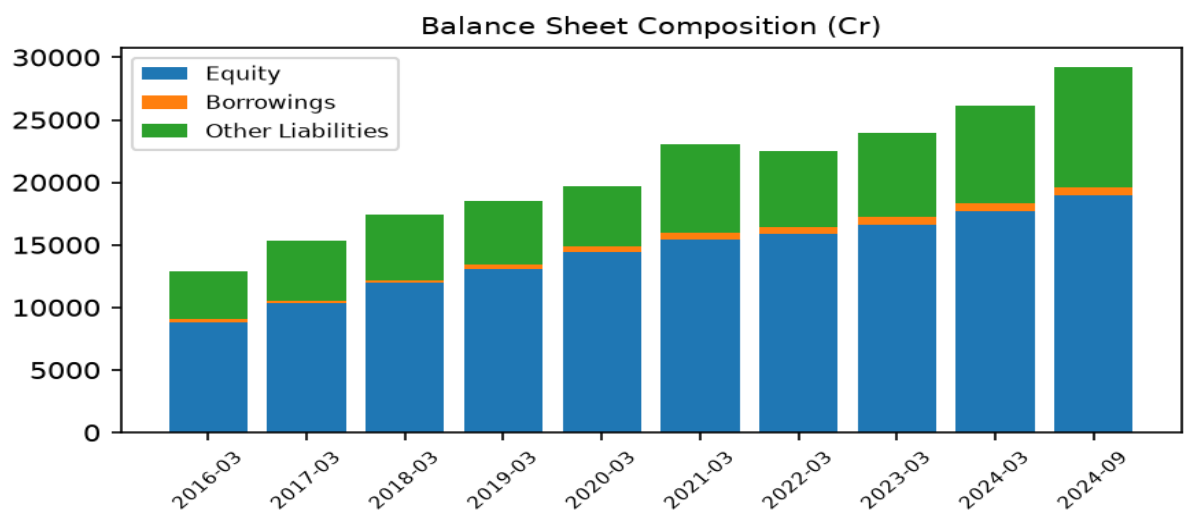
Revenue & Net Profit (10yr)



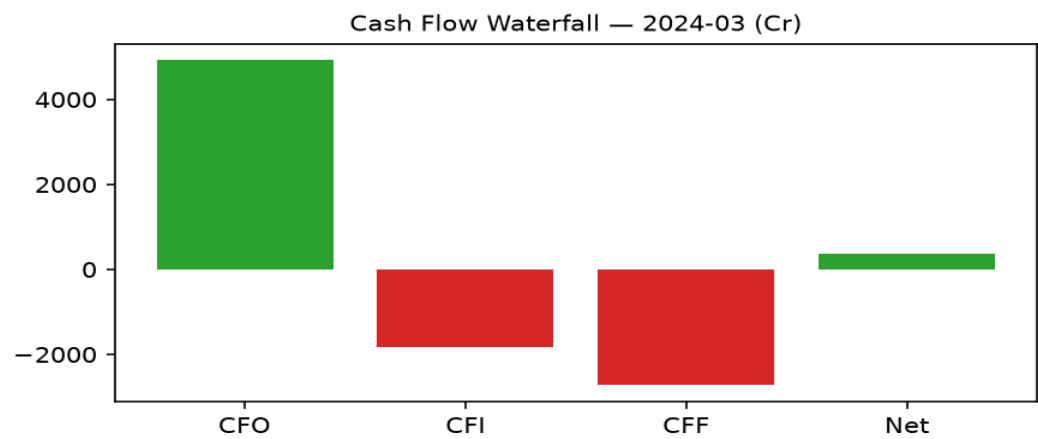
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Consistent dividend yield above 2% backed by positive free cash flow
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Return on equity of 21.1% reflects the company's baseline capital efficiency.

Cons

- ✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- ✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum

Capital Allocation: Shareholder Returns